history:

> The founders of the Trust bought equal shares of 30 leading companies in 1935 and decreed they could never be sold. The only exception was companies that went bankrupt, merged or spun off.

You don’t find them making any more funds like this. But back in the early days of the mutual fund industry, most funds looked more like it than not.

The first open-ended mutual fund in America — and in the world — was the Massachusetts Investors Trust, established in 1924.

(An aside: Open-ended means you could buy and sell shares of the fund at a price that matched the value of its portfolio. Before MIT came along, funds were closed-end. This meant prices might not match the underlying value of the portfolio. Disclosures were poor. And as you can imagine, sponsors often manipulated prices to their advantage.)

MIT was something new under the sun. It promised transparency and fairness. It promised low-cost professional management for the small investor. It had a sensible and conservative investment policy with a focus on large dividend-paying stocks. MIT would not trade these stocks, but aim to buy and hold.

As the late great professor Louis Lowenstein of Columbia University wrote,

> The transparency and flexibility, and the security and comfort thus offered to small investors, made MIT a uniquely American contribution to finance. … Good ideas usually have simple beginnings: it’s the very simplicity of the concept that makes them ultimately successful. This one was brilliant.

Lowenstein told MIT’s story well in his book *The Investor’s Dilemma*, which I highly recommend to anyone who invests in mutual funds. (Lowenstein is also the author of my two favorite books on corporate finance: *Sense & Nonsense in Corporate Finance* and *What’s Wrong with Wall Street*.)

Like Voya, MIT held onto stocks for a long time. In 1949, the